



8 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Recent gains in global share markets stalled overnight, with losses across the US, Europe and much of Asia as investors paused after a strong run higher in risk assets.

The FOMC's Minutes reinforced the hawkish tone accompanying the Fed's September rate hike, with most participants still viewing further tightening as appropriate and almost all seeing inflation risks tilted to the upside at the time of the meeting.

Treasury yields were mixed despite the hawkish Minutes, with strong demand at a 10-year auction helping stabilise long-end yields and reinforcing a broader steepening of the curve.

Oil prices remained elevated amid competing signals from the Middle East, with recovering crude flows offset by reports of increased attacks on shipping through the Strait of Hormuz.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6962	-0.3%
AUD/JPY	110.04	-0.3%
AUD/GBP	0.5269	0.2%
AUD/NZD	1.2429	0.1%
AUD/EUR	0.6218	0.2%
AUD/CNH	4.6666	-0.3%
AUD/SGD	0.8910	-0.1%
AUD/HKD	5.4641	-0.3%
AUD/CAD	0.9927	0.1%
EUR/USD	1.1197	-0.6%
USD/JPY	158.06	0.0%
USD Index	102.29	0.4%

Equities	Close	Change
S&P/ASX 200	8,728	-0.1%
S&P 500	7,802	-0.2%
Japan Nikkei	70,036	-0.9%
Hang Seng	24,131	-0.6%
Euro Stoxx 50	6,180	-1.5%
UK FTSE100	10,459	-0.8%
VIX Index	15.08	0.5%

Commodities	Current	Change
CRB Index	411.38	-0.6%
Gold	4111.50	-1.3%
Copper	14476	0.4%
Oil (WTI futures)	89.18	-0.3%
Coal (coking)	266.00	0.8%
Coal (thermal)	152.50	-0.8%
Iron Ore	91.75	-0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.62	0.01
90 day BBSY	4.81	-0.01
180 day BBSY	5.21	0.01
1 year swap	4.90	0.00
2 year swap	4.91	0.01
3 year swap	4.92	-0.01
4 year swap	4.96	0.00
5 year swap	5.01	0.01
6 year swap	5.07	0.01
7 year swap	5.13	0.02
8 year swap	5.19	0.02
9 year swap	5.24	0.02
10 year swap	5.29	0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.93	0.01
10 year bond	5.41	0.01
United States		
3-month T Bill	4.03	0.00
2 year bond	4.77	-0.03
10 year bond	5.28	0.00
Other (10 year yields)		
Germany	3.48	0.00
Japan	3.10	-0.01
UK	5.44	0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.42	-0.01
3 yr bond	4.93	-0.02
3 mth bill rate	4.63	0.00
SPI 200	8,709	-0.6%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- Share markets generally stalled across the globe. In the US, stocks partially retraced gains from earlier in the week, with the S&P 500 (–0.2%), Dow Jones (–0.7%) and NASDAQ (–0.2%) all declining. Stocks fared worse across the pond, with the Euro Stoxx 50 effectively unwinding all gains in recent days (–1.5%), marked by chunky declines in Germany's DAX (–1.4%) and France's CAC (–1.2%), alongside a larger decline in London's FTSE 100 (–0.8%). Stocks were also weaker across much of Asia, falling in Tokyo (–0.9%), Hong Kong (–0.6%) and Seoul (–2.0%). The ASX 200 only edged slightly lower, down –0.1%, but futures markets are pointing to a weaker open this morning.
- The treasury yield curve steepened overnight. Gains in the shorter-end saw 2-year yields fall 3bps to 4.77% – this was despite a strong lift in consumer inflation expectations and a hawkish FOMC Minutes, with market pricing for further rate hikes from the FOMC instead softening at the margin. Meanwhile, elevated yields at the long end drew very strong demand at the latest 10-year auction, stabilising 10-year yields at around 5.28%.
- Bonds were more varied elsewhere, with Bunds bull steepening amid a steady long-end, while Gilts bear steepened amid a 6bp lift in the 10-year. ACGBs were broadly steady during local trading, with yields inching only slightly higher, though that gave way to gains in futures trading overnight. Swaps markets continue to have around 6-7bps priced in for the RBA's November meeting, while a rate hike in December is seen at closer to 50/50 odds.
- The USD bounced back overnight as the DXY rallied to an intraday high of 102.5 before settling 0.4% higher at around 102.3. The Euro led the way lower, falling 0.6% versus the greenback to just under USD1.12, back around its recent lows. The Sterling shared a similar fate, down 0.5% toward the USD1.321 level, remaining largely rangebound between USD1.32-1.33 since late September. The Yen bucked the wider trend, holding broadly steady. The Aussie dollar meanwhile fell 0.3% to around USD0.696, unwinding gains from earlier in the week.
- Crude oil prices remain elevated as markets try to evaluate the net impact of opposing forces – signs of recovering flows of oil out of the Middle East is a positive, but reports that Iran has increased the number of attacks on ships transiting the Strait of Hormuz has kept a floor under prices. Brent was up 0.5% to US\$101.1/bbl overnight, still unable to break sustainably under the US\$100/bbl mark as of yet. Copper prices lifted 0.4% to US\$14,476 on the LME, gains being driven by risks of tighter supply amid strikes at a major

Today's key data and events

Time	Event	Exp	Prev
10:50	JP Current Account Balance Aug	¥3172.3b	¥2988.9b
23:30	US Initial Jobless Claims 3/10/2026	200k	197k
1:00	US Wholesale Inventories Aug Final	0.7%	0.7%

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Chilean mine, though the turn in risk sentiment overnight and firmer USD capped gains. Gold prices meanwhile fell 1.3% to around US\$4,111/oz.

International Data

In the US, the **FOMC's Minutes** from the September meeting reinforced the hawkish sentiment present at the time of the decision to raise the fed funds rate by 25bps to a midpoint of 3.875%. "All" participants supported the decision to raise rates in September, and "most" saw further tightening by year-end as appropriate. Underscoring that view was the fact that "almost all" participants saw inflation risks as tilted to the upside. Importantly, the assessment of the inflation outlook at the time had already anticipated a 0.2ppt downward revision to PCE inflation from the BEA's change in methodology, which ended up being 0.3ppt in the event.

The NY Fed's measure of **consumer inflation expectations** for the year ahead meanwhile surprised to the upside, rising from 3.58% in for to 3.90% in September, marking the highest result so far this year. Expectations also nudged 0.1ppt higher to 3.3% at the three-year horizon, though they were stable at 3.0% at the five-year horizon.

Local Data

The Westpac Economics New Zealand team published its **September Retail Spending Pulse**, which found that retail spending remained resilient in the face of higher fuel prices (see [here](#)).



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